February 4, 2026

Chair C.E. Cliff Hayes, Jr.
House Communications, Technology
and Innovation Committee
General Assembly Building, Room 909
201 North 9th Street
Richmond, VA 23219

Vice Chair Irene Shin
House Communications, Technology
and Innovation Committee
General Assembly Building, Room 1115
201 North 9th Street
Richmond, VA 23219

Delegate Michelle Lopes Maldonado
General Assembly Building, Room 819
201 North 9th Street
Richmond, VA 23219

RE: Letter in Opposition to Virginia HB 638

Dear Chair Hayes, Vice Chair Shin, and Delegate Maldonado:

On behalf of the advertising industry, we write to oppose Virginia HB 638.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. HB 638 would establish a data broker registry, codify highly prescriptive data security requirements, impose an extraordinarily high annual registration fee on covered businesses, and create a private right of action by tying enforcement to the Virginia Consumer Protection Act. Accordingly, we ask you to decline to advance the bill as drafted out of the House Communications, Technology and Innovation Committee ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.[2] By one estimate, approximately 17.8% of Virginia jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.3% by 2029.[3] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

[1] Virginia HB 638 (2025-26 Session), located here (hereinafter, "HB 638").
[2] S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.
[3] *Id.* at 15-16.

I. HB 638 would create a data broker registry that is largely duplicative of existing disclosures and, if enacted, should be harmonized with other privacy laws, including the Virginia Consumer Data Protection Act.

The registry requirements in HB 638 mandate that data brokers annually register with the Secretary of the Commonwealth and disclose information about their business practices, including the types of personal data they collect, how it is processed, sales activities, and opt-out policies.[4] This information is already routinely disclosed by data brokers through their privacy policies and compliance mechanisms under existing state privacy laws, including the Virginia Consumer Data Protection Act ("VCDPA"), which similarly requires public transparency about data collection, sale, and consumer rights. Should the Committee establish a data broker registry, we urge you to align HB 638's requirements with existing state standards. Harmonizing these rules would help ensure consistency for national businesses and eliminate duplicative disclosures while still meeting consumer transparency goals.

II. HB 638 would create highly prescriptive data security requirements for data brokers that would not tailor required security measures to data brokers' activities or size, departing from the VCDPA's data security requirements.

HB 638 would establish rigid data security requirements that could limit businesses' ability to adapt to evolving threats and implement effective security programs.[5] The bill would mandate specific administrative, technical, and physical safeguards, including secure user authentication protocols, access control measures, firewall and operating system protections, employee training, and stringent monitoring processes, for all data brokers operating in Virginia, regardless of their size or the type of data they process. These detailed requirements would depart from the approach to data security set forth in the VCDPA, which requires controllers to maintain reasonable data security measures to protect the confidentiality, integrity, and accessibility of personal data that are tailored to the volume and nature of the personal data at issue.[6] Data brokers are already subject to and must comply with the VCDPA's data security requirements. The prescriptive data security requirements in HB 638 are therefore unnecessary.

The bill would effectively codify complex data security practices that are constantly evolving and best handled through flexible, risk-based frameworks or industry standards rather than rigid statutory requirements. By obligating data brokers to comply with prescriptive requirements, the Committee would risk those rigid standards becoming quickly outdated, not reflecting evolving threats or technologies, hindering innovation in data security practices, and creating conflicts with evolving federal guidelines. The bill should be updated to permit a flexible, risk-based approach, enabling data brokers to adopt reasonable security measures tailored to their specific circumstances and the sensitivity of the data at issue.

---

[4] *See generally* HB 638 § 59.1-617.
[5] HB 638 § 59.1-616.
[6] Va. Code Ann. § 59.1-578(A)(3).

III. HB 638 would establish an extraordinarily high annual registration fee, which is severely out-of-step with other data broker registration regimes and would significantly increase the costs for businesses operating in the Commonwealth.

HB 638 would require that every data broker operating in the Commonwealth pay an annual registration fee of $100,000 to the Secretary of the Commonwealth.[7] Such a fee would represent the highest data broker registration fee among states that have adopted data broker registries and would disproportionately burden smaller and mid-sized companies. By way of comparison, the average annual data broker registration fee across the majority of states with data broker laws is $300.[8] Virginia's proposed supremely steep registration fee would effectively create a barrier to entry for smaller businesses looking to do business in Virginia, discouraging competition and innovation while advantaging only the largest companies able to absorb such a significant expense. A high, one-size-fits-all fee would create an inequitable burden, particularly for smaller businesses. This could drive current companies out of the Commonwealth and stifle future economic growth.

IV. HB 638 should not tie enforcement to the Virginia Consumer Protection Act or allow for a private right of action.

HB 638 would make any violation of its provisions a "prohibited practice" under the existing Virginia Consumer Protection Act ("VCPA").[9] Effectively, enforcement of these new data broker provisions would be able to proceed not just through government action but through private lawsuits under the VCPA's broad private right of action.[10] We strongly believe a private right of action would be an inappropriate enforcement mechanism for this bill. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Virginia residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill's new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in HB 638 would create a complex and flawed compliance system without tangible benefits for consumers. Allowing private actions will flood Virginia's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[11] Private right of action

[7] HB 638 § 59.1-617(1).
[8] *See, e.g.,* Vt. Stat. Ann. tit. 9, § 2446(a)(2); Or. Admin. R. 441-840-0050; Tex. Bus. & Com. Code § 510.005(a).
[9] HB 638 § 59.1-618.
[10] Va. Code Ann. § 59.1-204.
[11] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the Commonwealth's economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.[12]

Beyond the staggering cost to Virginia businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 638 does not create a private right of action under any law and vests enforcement authority with the AG alone.

* * *

---

[12] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

We respectfully ask the Committee to decline to advance HB 638 as proposed.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Clark Rector
Executive VP–Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Virginia House Communications, Technology and Innovation Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP